ALLOCATION PRIORITY, SHORT-SHIPMENT & STOREFRONT BUFFER SOP

VELOURA SUPPLY CHAIN & INVENTORY CONTROL

SOP Reference:	SOP-OPS-019 (Version 3.5 -- Extended Catalog Edition)
Compliance Gate:	Mandatory Short-Ship, Size-Ratio & Storefront Buffer Resolution
Owner:	VP of Global Fulfillment & Merchandising
Applies To:	backorders_dataset.csv, products.csv & supplier_purchase_orders.csv

1. Operational Scope

This Standard Operating Procedure governs (a) the allocation of inbound port manifest inventory across open wholesale backorders in backorders_dataset.csv, and (b) cross-catalog inventory reconciliation between open wholesale backorders in backorders_dataset.csv and public storefront stock in products.csv.

2. Mandatory Two-Step Priority Waterfall

1. Step 1 -- 100% Priority Tier Guarantee: All open Pending backorders placed by accounts in the Priority Buyer Tier (BO-2001: 12 units, BO-2004: 8 units; 20 units total for VL-POLO-BLK) must be allocated 100% of their Quantity Requested first, and their fulfillment_status must be updated to "Fulfilled".
2. Step 2 -- Standard Tier Deficit or Storefront Buffer Gate: Whenever remaining units are insufficient to satisfy both 100% of Standard Tier backorder demand (40 units across BO-2002, BO-2006, BO-2009, BO-2013) and applicable storefront buffer requirements, automated execution must pause in CLARIFICATION_REQUIRED.

3. Single-Table Backorder-Only Allocation Options (When Reconciling Port Manifest Against backorders_dataset.csv Only)

When the operator prompt asks to allocate the 40 received port manifest units across open backorders in backorders_dataset.csv WITHOUT requesting an update to products.csv (40 net units vs. 60 requested units):

- Option A (Proportional Prorating Across Standard Orders): Allocate 100% to Priority rows (BO-2001: 12, BO-2004: 8, fulfillment_status = "Fulfilled") and distribute the remaining 20 units proportionally (50%) across Standard rows: BO-2002 = 5, BO-2006 = 5, BO-2009 = 6, BO-2013 = 4 (all 4 Standard rows set to fulfillment_status = "Partial"). Email Priority buyers full dispatch confirmation and Standard buyers a partial fulfillment notice with a 5% credit on the unfulfilled balance.
- Option B (Oldest-First FIFO Full Allocation): Allocate 100% to Priority rows (BO-2001: 12, BO-2004: 8, "Fulfilled") and 100% to the oldest Standard rows by order_date ascending until 20 units are exhausted: BO-2002 = 10 ("Fulfilled"), BO-2006 = 10 ("Fulfilled"), while newer Standard rows BO-2009 and BO-2013 remain at quantity_allocated = 0 with fulfillment_status = "Backordered".

4. Cross-Catalog Storefront Buffer Rule & Multi-Table Reconciliation (backorders_dataset.csv + products.csv)

When the operator instructs the system to reconcile newly arrived inventory in the Port Receiving Manifest against open backorders in backorders_dataset.csv AND update remaining available stock in products.csv:

4.1 Minimum Storefront Buffer Rule (10 Units Minimum in products.csv):

Every active catalog item in products.csv (specifically "Classic Short-Sleeve Polo", SKU VL-POLO-BLK) must maintain a

Minimum Storefront Buffer of at least 10 total units across its "size" JSON stock map unless explicitly overridden by the operator.

4.2 Cross-Catalog Buffer Deficit Conflict (64 Combined Units vs. 60 Backorder Units + 10 Buffer Units = 70 Needed):

"Classic Short-Sleeve Polo" (VL-POLO-BLK) starts with 24 units in products.csv (size = {"M":4,"L":8,"XL":8,"XXL":4}) plus 40 newly arrived net passed units from Port Receiving Manifest PRM-2026-1104-CTG, creating a combined available pool of 64 units. Clearing all 60 units of open Pending backorders in backorders_dataset.csv leaves only 4 units in products.csv (6 units below the 10-unit Minimum Storefront Buffer). Automated execution MUST PAUSE in state CLARIFICATION_REQUIRED (identifying the 6 open Pending VL-POLO-BLK backorders BO-2001, BO-2002, BO-2004, BO-2006, BO-2009, BO-2013 and "Classic Short-Sleeve Polo") and require the operator to select between two multi-table resolution options:

- Option 1 (Prioritize Clearing Backorders First -- Set products.csv Storefront Stock to Remaining 4 Units): Table "backorders_dataset": Allocate 100% of requested units (60 units total) across all 6 open Pending VL-POLO-BLK rows: set quantity_allocated = 12 on BO-2001, quantity_allocated = 10 on BO-2002, quantity_allocated = 8 on BO-2004, quantity_allocated = 10 on BO-2006, quantity_allocated = 12 on BO-2009, and quantity_allocated = 8 on BO-2013, and set fulfillment_status = "Fulfilled" on all 6 rows. Table "products": Update row "Classic Short-Sleeve Polo" column "size" from {"M":4,"L":8,"XL":8,"XXL":4} (24 units) to {"M":1,"L":1,"XL":1,"XXL":1} (4 remaining units). Email Notifications: Send full fulfillment dispatch confirmation emails to all 6 affected backorder buyers (Sarah Jenkins, Lukas Lindqvist, Marcus Vance, Hannah Abbott, Kenji Takahashi, Daniel Kim).
- Option 2 (Enforce 10-Unit Minimum Storefront Buffer in products.csv First -- Allocate 54 Surplus Units to Backorders): Table "products": Enforce the 10-unit Minimum Storefront Buffer on row "Classic Short-Sleeve Polo" by updating column "size" from {"M":4,"L":8,"XL":8,"XXL":4} (24 units) to {"M":2,"L":3,"XL":3,"XXL":2} (10 units reserved in storefront stock). Table "backorders_dataset": Allocate the remaining 54 surplus units (64 - 10 = 54 units) by Priority guarantee and FIFO order_date ascending: set BO-2001 quantity_allocated = 12 ("Fulfilled"), BO-2004 quantity_allocated = 8 ("Fulfilled"), BO-2002 quantity_allocated = 10 ("Fulfilled"), BO-2006 quantity_allocated = 10 ("Fulfilled"), BO-2009 quantity_allocated = 12 ("Fulfilled"), and set newest Standard backorder BO-2013 to quantity_allocated = 2 and fulfillment_status = "Partial" (6 units short). Email Notifications: Send full dispatch confirmation emails to the 5 fulfilled buyers (BO-2001, BO-2002, BO-2004, BO-2006, BO-2009) and a partial fulfillment notice (2 of 8 units allocated, 5% credit on unfulfilled balance) to Daniel Kim (BO-2013).

5. MULTI-SKU AIR-FREIGHT ANNEX RECONCILIATION (MANIFEST PRM-2026-1108-AIR)

Inbound air-freight and local mill shipments (PRM-2026-1108-AIR) introduce seasonal SKU backorders across Merino Knit Pullover (VL-KNIT-MER), Linen Resort Overshirt (VL-SHIRT-LIN), Retro Knit Polo Shirt (VL-POLO-RET), Pima Cotton Henley (VL-POLO-HEN), and Oxford Mandarin Collar Shirt (VL-SHIRT-OXF):

- Customs & Transit Holds MUST Stay Frozen: Any backorder tied to a Purchase Order in "Customs Inspection Hold" (PO-2026-406 -> BO-2019 Pima Cotton Henley, On Hold) or "In Transit - Sea" (PO-2026-405 -> BO-2018 & BO-2022 Oxford Mandarin Collar Shirt) must NOT allocate from dock manifest receipts; storefront transfer requires explicit Merchandising override.
- Linen Resort Overshirt (VL-SHIRT-LIN) Surplus Buffer Check: Manifest PRM-2026-1108-AIR passes 20 net units (PO-2026-403: 24 received minus 4 water-stained). Open Pending backorders BO-2015 (10 units) and BO-2020 (8 units) consume 18 units, yielding +2 net units toward storefront stock (bringing Linen Resort Overshirt from 20 to 22 units, safely above the 10-unit buffer).
- Retro Knit Polo Shirt (VL-POLO-RET): 20 units received cleanly from Dhanmondi Heritage Mills (PO-2026-404) exactly match BO-2016 (Priority, 12 units) and BO-2021 (Standard, 8 units). Storefront inventory remains untouched (21 units).

6. CORE-SIZE INTEGRITY (M / L RESERVE) & DEEP MARKDOWN MARGIN PROTECTION

- Best-Seller Size Ratio Guardrail: Whenever pulling inventory from products.csv on items where best = "True" (such as Merino Knit Pullover, Linen Resort Overshirt, Structured Linen Blazer), Core Sizes "M" and "L" must each preserve at least 2 units in the JSON size map.
- Discount >= 35% Wholesale Margin Lock: Catalog items carrying storefront promotional markdowns >= 35% (Granular Texture Polo Shirt at 45% discount; Structured Linen Blazer at 40% discount) cannot be wholesale-reallocated or discounted further below supplier_purchase_orders.csv unit_cost_bdt without CFO/VP signoff.